

STRENGTHS Growth of the electronics industry Growing GDP Relocation of manufacturing in India New government initiatives Low labour costs Upcoming markets such as solar and e-Mobility	OPPORTUNITIES Rapid growth of the NEP and NPM Identification of the electronics system design and manufacturing (ESDM) clusters and build world-class infrastructure Rationalisation of tax and tariffs Promotion of R&D centres in subsectors with high-growth potential Institute-focussed market and product schemes
WEAKNESSES Acute shortage of skilled labour Less industry interactions for knowledge sharing Nonchannelised transportation system High custom duties on the imports and exports Time adherence for new technologies	THREATS Established manufacturing and distribution units in China and Taiwan Low price from the distributors abroad Inadequate ecosystem for raw materials

SWOT

Fig. 1: SWOT analysis of connector industry

TABLE I
Military/Aerospace Market
Sector-Sales and Net Income

Company	Full Year 2012	Full Year 2013	Percent Change
Boeing (Mil/Aero)	\$30,477.0	\$33,197.0	8.9%
EADS (Mil/Aero)*	\$14,657.8	\$16,780.0	14.5%
General Dynamics	\$31,513.0	\$31,218.0	-0.9%
Honeywell	\$37,665.0	\$39,055.0	3.7%
Lockheed Martin	\$47,182.0	\$45,358.0	-3.9%
Northrop Grumman	\$25,218.0	\$24,661.0	-2.2%
Raytheon	\$24,414.0	\$23,706.0	-2.9%
Textron	\$12,237.0	\$11,502.0	-6.0%
United Technologies	\$57,716.0	\$62,626.0	8.5%
L-3 Communications	\$13,989.0	\$12,629.0	-9.7%
Finmeccanica*	\$21,906.1	\$20,738.0	-5.3%
Total Sales	\$316,974.9	\$321,470.0	1.4%
Total Net Income	\$18,066.2	\$27,833.5	54.1%

\$ Millions; *Q2013 Sales Estimated
 Courtesy: 2014 Bishop & Associates, Inc.

thus increasing the consumption of connectors.

It is good to understand the market trend based on different sectors, but it becomes useless if we do not have the overall industry forecast. Table I provides the actual market figures that would help us estimate the growth of the connectors industry in the near future.

Government policies and their effect

There are almost no policies put forward by the government of India specifically for the connectors and the terminals industry, though policies for the electronics industry can be related to this industry. Handu says, "The recently approved National Policy on Electronics (NPE), which seeks to transform the Indian electronics manufacturing sector to a US\$ 400 billion market by 2020, holds much promise in the journey towards localisation, and can be made a reality through the concerted efforts of all the stakeholders."

Realising the importance of

the electronics industry in India's global ambitions, the government is readying itself to script a turnaround. India is perhaps the only country to have a National Manufacturing Policy (NMP) and a National Policy on Electronics (NPE). It is also one of the fastest-growing consumer markets in the world, growing five-fold between 2008 and 2015.

If the Indian electronics manufacturing sector does grow into a \$400 billion industry by 2020, it will increase the demand for connectors and terminals as well as generate employment for 28 million Indians. The policy also aims to set up 200 electronics manufacturing clusters, and to significantly scale up high-end resource creation. The NMP seeks to create 100 million jobs and enhance the share of manufacturing in GDP to 25 per cent by 2022.

As per Rahul Yadav, vice president-sales and marketing, Phoenix Contact, "The Modified Special Incentive Package Scheme (M-SIPS) provides 20 per cent to 25 per cent subsidy on capital investments in expansion of manufacturing capacity or new manufacturing projects. Then there are certain standards laid down for prevention of thermal and fire hazards and water protection, such as IEC 61730 and UL 94. These standards have been in effect into some industries for quite some time; however, they were not mandatory in every application."

Up to 70 per cent of income variations amongst nations can be explained by differences in the share of a nation's contribution to global electronics produc-

TABLE II
Global Rail Connector Market Report

Global Rail	2013	2014F	2015F	2016F	2017F	2018F	5-Year CAGR
North America	\$154.5	\$187.8	\$185.3	\$194.8	\$219.7	\$255.6	10.0%
Europe	\$274.7	\$274.0	\$272.7	\$290.1	\$306.5	\$323.8	3.3%
Japan	\$26.3	\$34.1	\$33.1	\$36.6	\$39.7	\$41.1	9.4%
China	\$27.4	\$37.0	\$43.8	\$53.4	\$60.5	\$67.7	19.9%
Asia-Pacific	\$25.5	\$28.2	\$31.2	\$33.9	\$37.6	\$40.3	9.6%
Rest of the World	\$54.6	\$62.9	\$61.3	\$65.2	\$80.2	\$100.4	12.9%
Total	\$562.9	\$624.0	\$627.5	\$673.9	\$744.2	\$828.8	8.0%

\$ Millions
 Courtesy: Bishop & Associates, Inc.

TABLE III
Year-On-Year Sales Forecast by Quarter for the Connector Industry

Quarter	2011 Actual	2012 Actual	YOY Change	2013 Results	YOY Change
1Q	\$11,795	\$11,527	-2.3%	\$11,665	1.2%
2Q	\$12,482	\$12,020	-3.7%	\$12,234	1.8%
3Q	\$13,017	\$12,094	-7.1%	\$12,529	3.6%
4Q	\$11,629	\$11,970	2.9%	\$12,471	4.2%
Total	\$48,923	\$47,610	-2.7%	\$48,899	2.7%

\$ Millions, Forecast in red
 Courtesy: Bishop & Associates, Inc.